Public Finance

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Public Finance and the Market Economy
Lecture Notes
(BIS)

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Chapter Two

Introduction to Public Finance

Objective of the Chapter

1. Defining Public Finance.
2. The Process of Public Finance
3. Why Is Public Finance Needed?
4. Components of Public Finance
    - 4.1. Public Expenditure
    - 4.2. Public Revenue
    - 4.3. Public Debt
    - 4.4. Public financial administration
    - 4.5. Public Policy
        - 4.5.1. Fiscal Policy
        - 4.5.2. Monetary Policy
5. How Public Finance affects the Economy?

1. Defining Public Finance

- It is field of economics concerned with how governments raise money, how that money is spent, and the effects of these activities on the economy and on society.
- Generally, Public finance is the field of economics that studies government activities and the alternatives of financing government expenditures (How government actions affect the economy).

Public finance =government revenue + government expenditure

- **Governments:**

Are organizations formed to exercise authority over the people who live together in a society and to provide and finance essential services. Many citizens and resources are employed in the production of government services.

- **Individuals:**

They pay taxes and are also recipients of income financed by those taxes.

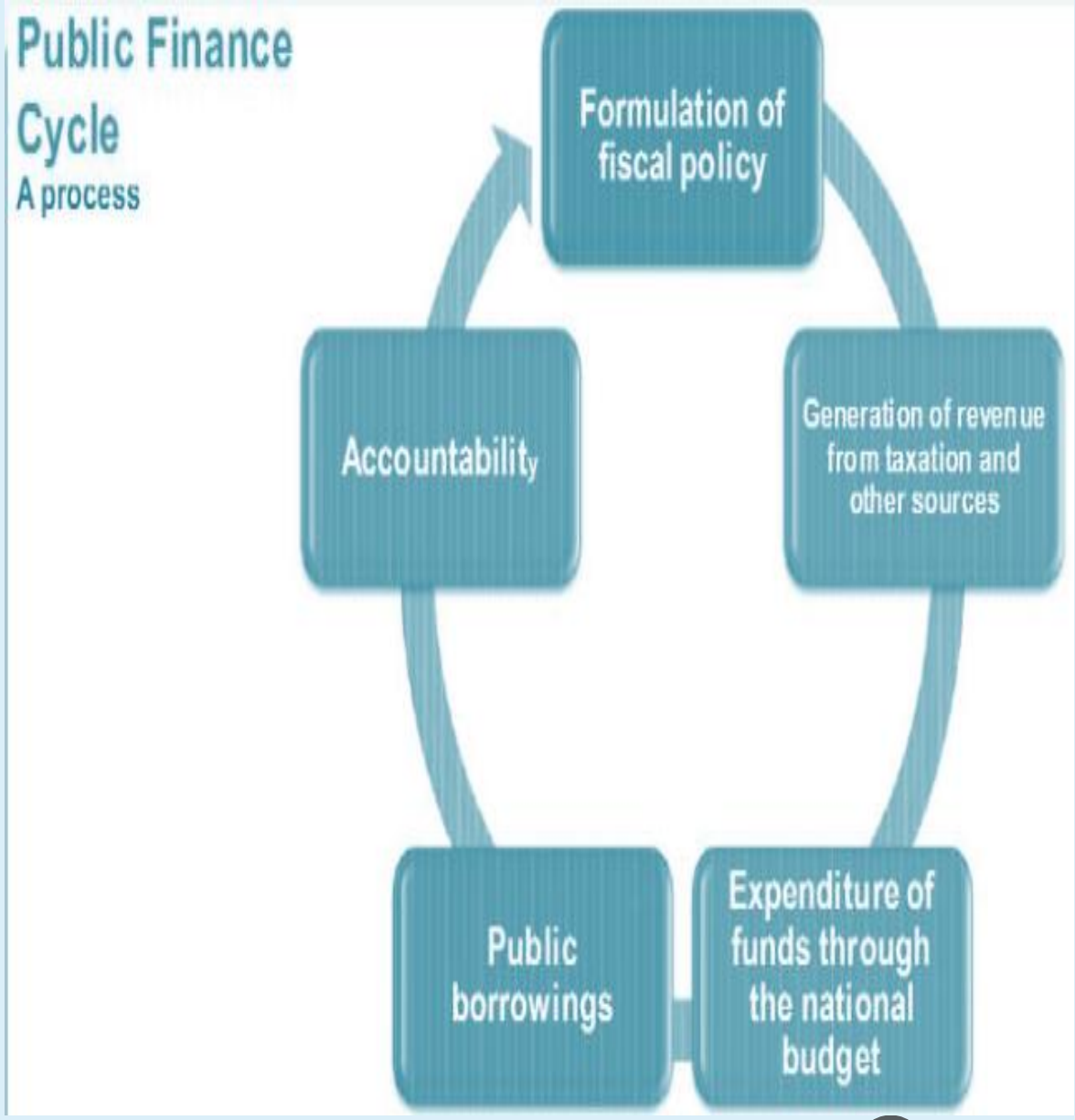
  - For example, Social Security pensions, unemployment insurance compensation, and subsidies to the poor are financed by taxes.
  - The extent to which individuals have the right to participate in decisions that determine what governments do varies from society to another according to the political interaction of citizens.

- **Political institutions:**

  - These constitute the rules and generally accepted procedures that evolve in a community for determining the role of the government and how to finance its activities.
  - Through these democratic environment, individual desires are translated (through voting and elections) into binding decisions by the governments.

2- The Process of Public Finance

In the narrow sense, public finance is defined as the study of income and expenditure of the government. But the broader view is that public finance also includes the sources of income and the way of expenditure of various government corporations, public companies, and quasi governmental ventures.



3. Why Is Public Finance Needed?

- Public Finance determines governments provision of public goods and services such as roads, military forces, lighthouses, and street lights.
- Some services, by their nature, do not attract private investors to produce them as citizens would not pay them. Accordingly, they are produced by governments.

- Public finance enables governments to correct or offset undesirable side effects of a market economy. These side effects are called **spillovers** or **externalities**. To correct a spillover, governments can encourage or restrict certain activities. For example; households and private projects may emit pollution without considering the negative impact on others.
- Public finance provides government programs for the poor. These programs include social security, social welfare, and other social programs.
- Public finance helps in redistribution of income by imposing taxes on rich people to offer goods and services and subsidies to poor people.

4. Components of Public Finance

4.1 Government Spending

Is the spending of the public authorities (central, state and local governments) to fulfil its functions and achieve the policy objectives.

Public expenditure includes wages and salaries; subsidies and transfers; expenditure on goods and services such as infrastructures like road, electricity, telecom, and human capital accumulation like health and education; interest expenditure etc.

4.2. Public Revenue:

Is the total income received by a government from all sources, which it uses to fund its public expenditures.

Main sources of governments are:

- Taxes, such as income taxes, capital taxes, and excise taxes (value added taxes).
- Administrative revenues from fees on some services or tolls on highways.
- Gifts and grants.

4.3. Public Debt:

- These are obligations of governments to be paid at some future time.
- These debts arise when public revenue falls short of expenditure and government has to borrow from internal and external sources.
- Public debts can be classified according to;

***1- Maturity Period*:** as short-term (less than five years) or long-term (more than five years).

2- *The issuer*: as direct obligations (issued and backed by the government), contingent obligations (issued by a governmental corporation or other quasi-governmental body but guaranteed by the government), or revenue obligation (backed by anticipated revenues from government-owned commercial enterprises such as toll highways or public utilities and not by taxes).

***3- The location*:** either internal or external.

4- The marketability, as negotiable securities (marketable) or nonnegotiable securities.

- To accelerate economic development, many governments choose to raise funds through borrowing (debt financing) rather than taxation.

- Debt financing is appropriate when “Tax” financing is practically or politically infeasible.
  - National governments can’t use taxation during war time.
  - Local governments can’t use taxation to finance large capital projects such as highways and schools.

- The level of public debt varies from country to country, from less than 10 % of the GNP to more than double the GNP.

- Debt financing is believed to have an inflationary effect on the economy and thus it is often used during economic recessions to stimulate consumption, investment, and employment.

4.4. Public Financial Administration:

- Public Financial Administration includes central and regional public institutions responsible for; accounting; auditing and budgeting; supervising local government finances; tax administration; tax collection; administration of employee – retirement systems; debt and investment administration and so on….

- All these require an efficient, energetic and scientific management to manage the public expenditure, public revenue and public debt.

4.5. Public Policy:

The main goal of this policy is economic stabilization and economic growth. It includes two main policies (Fiscal and Monetary Policy) used to influence a nation's economic activity.

4.5.1. Fiscal policy: refers to the use of two tools (**government spending** and **taxation)** to influence a nation's economy. It includes to main types:

Expansionary fiscal policy: Increases in government spending and/or cuts in taxes; these results in an increase in output (positive multiplier effect).

Contractionary fiscal policy: Cuts in government spending and/or increases in taxes (negative multiplier effect).

So, a government's fiscal policy is the tool used by the government to influence the performance of the economy.

It could achieve a surplus or suffers from a deficit.

Government surplus; is the amount by which income exceeds spending.

Government Deficits; is the amount by which government expenses exceed income. Governments finance deficits by borrowing money.

A balanced budget exists when spending is equal to revenue.

4.5.2. Monetary policy: concerns with the management of interest rates and the total supply of money in circulation.

It is generally carried out by central banks. Monetary policy works through a combination of change to the supply of money and change to interest rates.

Expansionary monetary policy: An increase in the money supply and decrease in interest rates.

Contractionary monetary policy: A decrease in the money supply and a rise in interest rates.

5. How Public Finance affects the Economy?

Government spending and taxation directly affect the overall performance of the economy. For example, if the government increases spending to build a new highway, construction of the highway will create jobs. Jobs create income that people spend on purchases, and the economy tends to grow. The opposite happens when the government increases taxes. Households and businesses have less of their income to spend, they purchase fewer goods, and the economy tends to shrink.

THANK YOU